c) System operators: People who operate the system and use it for different purposes. They are also called as end users.

iv) Procedure: Procedure is a step by step series of instructions to perform a specific function and achieve desired output. In a computer system there are three types of procedures.

a) Hardware oriented procedure: It defines the working of a hardware component.

b) Software oriented procedure: It is a set of detailed instructions for using the software.

c) Internal procedure: It maintains the overall working of each part of a computer system by directing the flow of information.

v) Data: The facts and figures that are fed into a computer for further processing are called data. Data are raw input until the computer system interprets them using machine language, stores them in memory, classifies them for processing and produces results in conformance with the instructions given to it. Processed and useful data are called information which is used for decision making.

vi) Connectivity: When two or more computers are connected to each other, they can share information and resources such as sharing of files (data/music, etc), sharing of printer, sharing of facilities like the internet. This sharing is possible using wires, cables, satellite, infra-red, bluetooth, microwave transmission, etc.

14.3 Advantages of Computerised Accounting System

The main advantages of computerised accounting system are as follows:

(i) Faster processing: Computers require far less time than human beings in performing a particular task. Therefore, accounting data are processed faster using a computerised accounting system.

(ii) Accurate information: There is less space for error because only one account entry is needed for each transaction unlike repeated posting of the same accounting data in manual system.

(iii) Reliability: Computer systems are immune to boredom, tiredness or fatigue. Therefore, these can perform repetitive functions effectively and are highly reliable.

(iv) Easy availability of information: The data are easily available and can be communicated to different users at the same time.

(v) Up-to-date information: Account balances will always be up to date since the records are automatically updated as and when accounting data are entered or stored.

(vi) Efficiency: The computer based accounting system ensures better use of time and resources.

(vii) Storage and retrieval: Computer based systems require a fractional amount of physical space as compared to the books of accounts in the form of journals, ledgers and accounting registers.

(viii) Works as a motivator to employees: Employees using computer systems feel more valued as they are trained and specialised for the job.

(ix) Automated document production: Accounting reports like trial balance and financial statements are generated automatically and are easily accessible just by a click of the mouse.

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